you needed Rs 5 to get a dollar the next day, everyone perceived that the rupee had become weaker.

The real value of a currency, when it is not backed by 100 per cent reserves in gold and silver, is measurable in relative value of goods and services produced in an economy relative to the nominal value of the currency. If, say, India produced $100 million worth of total goods and services in a year and its stock of currency issued was Rs 1000 crore and the next year it again produced $100 million worth of total goods and services but its stock of currency went up to Rs 1250 crore, the real value of currency depreciated by 25 per cent. If there was no change in this period in the value of all the goods and services produced and the dollar currency issued, the rupee would be equally strong even if its nominal value depreciated by 25 per cent vis-à-vis the dollar.

Unfortunately, in the perception of policymakers, Indian currency would have become weaker in the example cited above if the country were to devalue its currency by 25 per cent. This optical difference between the nominal value and real value of the currency has had an enormous negative impact on policymaking in the country.

India loosened its monetary policy after Independence to raise resources to finance the development and construction of industries. However, this did not raise the production of goods in proportion of additional currency issued, altering the relative ratio of total goods and services produced or GDP vis-à-vis other countries, especially industrially advanced countries. Policymakers kept resisting calls to readjust the value of the rupee in terms of the underlying rupee-gold ratio. This situation had major implications for imports, exports and foreign exchange reserves.

The artificially overvalued rupee led to pressures on imports as imports became cheaper. More imports led to running down of reserves. The overvalued rupee discouraged exports, further depressing foreign exchange reserves. This vicious cycle of larger demand for imports, lower exports and